TEACHER GUIDE DRAFT

IB Diploma Programme Business management HL

Pricing

Unit 4: Marketing

4.5 The seven Ps of the marketing mix: price



A revision lesson. Pupils run a car dealership in firms of four and revise pricing on their own deals. Seat each firm together. Each firm answers the topic tasks together.

The lesson

45-minute setting

Setup	Round 1	Round 2	Round 3	Final questions

EVERY ROUND

Firm decisions
3 min

→

Deals
4½–5 min

→

Topic tasks
4 min

→

B2B deal
2½ min
from Round 2

LESSON SETTINGS

30 min	45 min	60 min	75 min

What pupils do

Every pupil buys and sells cars. In Firm decisions, each role has its own job.



CEO

Staff · Sabotage from Round 2



Finance

Capital & Loans · Investments



Sales & Marketing

Marketing



Operations

Seasonal stock

Topic tasks

Each firm gets its own figures. The method is the same.

1 Mark-up to margin

Round 1

Mark-up or margin?

Margin, as % of the price? Nearest whole %.

Full cost per car	**£10,000**
Your mark-up	**25%**

ANSWER

20%

£2,500 ÷ £12,500 = 20.0%

Why: The same profit is a bigger share of the cost than of the price.

2 When to skim

Round 1

You launch a new model in your area.

Which two conditions suit price skimming?

- **A** Buyers compare prices closely
- **B** Rivals cannot copy it soon
- **C** You want a big share fast
- **D** Rivals sell the same model
- **E** Early buyers will pay a premium

ANSWER

✓ Rivals cannot copy it soon
✓ Early buyers will pay a premium

Why: Skimming works while the product is new, hard to copy, and wanted by buyers who pay more.

3 Rank three prices

Round 2

Full cost: £12,000. Three ways to set the price.

Order by price, highest first?

- **A** Cost plus £3,400
- **B** A 30% mark-up on cost
- **C** A 25% margin on the price

ANSWER

1. A 25% margin on the price
2. A 30% mark-up on cost
3. Cost plus £3,400

Why: £12,000 ÷ 75% = £16,000; £12,000 × 130% = £15,600; £12,000 + £3,400 = £15,400.

Topic tasks

4 Discounted profit

Round 2

They want a discount.

Profit on the 3 cars?

List price per car	**£14,500**
Fleet discount	**10%**
You pay per car	**£10,450**

ANSWER

£7,800

3 × (£14,500 − 10% − £10,450) = £7,800

Why: The 10% discount costs £4,350 of profit on the deal.

5 Weekday pricing

Round 3

Weekend service slots are always full; weekday slots are half empty.

Which pricing should you choose, and why?

A Lower prices on weekdays

B One price every day

ANSWER

✔ Lower prices on weekdays

Why: Price discrimination fills the empty weekday slots without cutting weekend prices.

6 Price to hit margin

Round 3

Price to hit your target.

Price with the 25% margin?

You pay per car	**£9,310**
Prep per car	**£440**
Target margin on the price	**25%**

ANSWER

£13,000

(£9,310 + £440) ÷ 75% = £13,000

Why: A 25% margin is a 33% mark-up on cost.

Final questions

Each pupil answers 6 final questions on pricing. They come from these 8 questions.

1. A dealer prepares a used car at a total cost of £6,400 and adds a 25% mark-up. What selling price does cost-plus pricing give?
   ✔ **£8,000**

2. A service costs the workshop £120 in labour and parts and sells for £168. What is the mark-up on cost?
   ✔ **40%**

3. A car listed at £9,500 is cut by 8% in a January sale. What is the sale price?
   ✔ **£8,740**

4. A dealer wants a 20% profit margin on the selling price of a car that cost £7,200. What price must it charge?
   ✔ **£9,000**

5. A new online car-buying service launches with prices well below established dealers to win customers quickly. Which pricing method is this?
   ✔ **Penetration pricing**

6. A dealer sets its servicing prices in line with the three other garages in town. Which pricing method is this?
   ✔ **Competitive pricing**

7. A workshop prices every repair at cost plus 30%. Rivals charge far less for simple jobs and it loses that work. What is the main weakness of its method?
   ✔ **It ignores customers and rivals**

8. After a year of penetration pricing a new dealer group has a large customer base. What is the usual next step?
   ✔ **Raise prices gradually towards rivals' levels**